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The Issue of Paper Money in the American Colonies, 1720-1774

Author(s): Roger W. Weiss

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The Issue of Paper Money in the American Colonies, 1720-1774

I. INTRODUCTION

EVERY generation has interpreted the monetary experience of the colonies in the light of its own problems. The Jacksonian period produced the interpretations of Gouge just as the silver controversy of the 1890's produced the work of Bullock and Davis. The reaction to the financial fundamentalism of the 1890's came largely from the work of R. A. Lester and the unpublished but celebrated work of L. Brock in the late thirties and early forties, heavily influenced by the experience of the depression.[1] From the latter two, a new orthodoxy has emerged among American historians, under the authority of E. James Ferguson, whose important recent study, *The Power of the Purse*,[2] defends the paper money currencies of the colonies by a well-reasoned appeal to the modern fiscal practice of financing war by inflation.

Although the financial experience of the colonial period has had, in the course of these successive cycles of re-interpretation, a surfeit of exposition and even a degree of comprehensive treatment, a great deal of misinterpretation has remained and a systematic discussion of the entire period in all the colonies has not yet been attempted. The most detailed studies are overburdened with the chronicles of the political background of British monetary policies in the colonies and with the debates in the colonies over them.

The controversy over colonial practices did not begin in the nineteenth century; a large and tedious pamphlet literature developed early in the eighteenth century. William Douglass in 1739 denounced paper money issues in much the same terms as Davis, McLeod and Bullock in the nineteenth century. Douglass wrote:

The author's thanks are given to an anonymous reviewer whose comments on an earlier version avoided an error and improved the organization of this paper.

[1] R. A. Lester, *Monetary Experiments* (Princeton: Princeton University Press, 1939); L. Van Horn Brock, *The Currency of the American Colonies, 1700-1764* (unpublished Ph. D. Dissertation, University of Michigan, 1941).

[2] E. James Ferguson, *The Power of the Purse* (Chapel Hill: University of North Carolina Press, 1961).

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To make a Bill or Note bearing no Interest, and not payable till after a dozen or score of Years, a legal Tender . . . in Payment of Debts, is the highest of *despotick* and arbitrary Government. . . . Our Paper Money Colonies have carried the Iniquity still further; the Popular or *Democratick* Part of the Constitution are generally in Debt, and by their too great Weight or Influence in Elections, have made a depreciating Currency, a Tender for Contracts done many Years before; that is, *they impose upon the Creditor side in private contracts,* which the most despotick Powers never assumed.[3]

McLeod wrote:

This fluctuating and complicated currency retarded business and crippled commerce. Ships were lying in dry dock. Inflation was triumphant, business paralyzed. . . . Fiat money means degeneration; degeneration precipitates inflation; inflation culminates in repudiation.[4]

On the other side in the eighteenth century was Benjamin Franklin, whose well-known pamphlet defended the paper money issues of Pennsylvania.[5] His contemporary, Adam Smith, has been used by both sides, for while Smith praised the restraint with which Pennsylvania managed her currency, he also wrote with scorn for the rationale of paper money in the colonies.

No complaint, however, is more common than that of a scarcity of money. Money, like wine, must always be scarce with those who have neither wherewithal to buy it, nor credit to borrow it . . . this complaint, however, of the scarcity of money, is not always confined to improvident spendthrifts. It is

[3] William Douglass, "A Discourse Concerning the Currencies of the British Plantations in America," in Andrew McFarland Davis, *Colonial Currency Reprints,* III (Boston: The Prince Society, 1911), p. 326. Andrew McFarland Davis, *Currency and Banking in the Province of Massachusetts Bay* (New York: The Macmillan Company, 1900).

[4] Frank Fenwick McLeod, "The History of Fiat Money and Currency Inflation in New England from 1620 to 1789," *Annals of the American Academy,* XII, 1898. Charles Bullock, *Essays in the Monetary History of the United States* (New York: The Macmillan Company, 1900).

[5] "The Nature and Necessity of a Paper Currency," in Jared Sparks, ed., *The Works of Benjamin Franklin,* II (Boston: Tappan & Whittemore, 1836), pp. 254-77. Franklin's role is not free of conflict of interest judged by our present-day standards. He wrote in his *Autobiography,*

It [the pamphlet, *Nature and Necessity* . . .] was well received by the common people in general; but the rich men disliked it, for it increased and strengthened the clamor for more money, and they happening to have no writers among them that were able to answer it, their opposition slackened, and the point was carried by a majority in the House. My friends there, who conceived I had been of some service, thought fit to reward me by employing me in printing the money—a very profitable job and a great help to me," Leonard W. Labaree, ed., (New Haven: Yale University Press, 1964), p. 124.

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sometimes general through a whole mercantile town and the country in its neighborhood. Over-trading is the common cause of it.[6]

The modern defenders of paper money in the colonies have based their arguments on three grounds: 1) not all colonies had unstable currencies; the obvious scandals of New England's inflation should not obscure the good management of the middle colonies; 2) the modern practice of financing wars by printing money vindicates the colonials who did the same thing; and 3) the young colonies "suffered" a chronic deficit in their external trade that drained them of their specie; paper money was needed to provide a substitute medium of exchange. Bray Hammond is in this latter camp, writing: "the basic fact [was] that the eighteenth-century America, being without specie to serve as medium of exchange and legal tender had to provide something."[7] The same point was made with confusion and exaggeration by Arthur Nussbaum, writing of the seventeenth century:

the effect of the colonies' unfavorable balance of trade . . . was even aggravated by the prohibition against exporting specie from England. . . . the "sinews of war," namely hard money, were too badly needed for English expansionist policies, especially since the motherland herself during the seventeenth century suffered from inadequate currency. Financial relations between England and the American colonies were for the most part carried on by bills of exchange.[8]

E. James Ferguson, drawing on the data of Brock and the interpretations of Lester, wrote with greater sophistication than most of his predecessors. Paper money was a

solution to the problem created by a shortage of coin and the absence of banking institutions. The colonies mined no precious metals themselves, and the

[6] Adam Smith, *Wealth of Nations* (New York: The Modern Library, 1937), p. 406.

[7] Bray Hammond, *Banks and Politics in America* (Princeton: Princeton University Press, 1957), p. 14. Brock's argument is even stronger:

The result was, that as the demand for silver from making payments abroad grew, and as the supply of the metal within this colony dwindled and fewer and fewer silver coins came into the hands of the merchants in the ordinary course of trade, those that needed it to make remittances to Britain began to bid one against the other for it, and its price rose. The existence of a stock of silver in a colony served to retard the rise of the price of the metal even in the face of a substantial increase in the sums outstanding in bills of credit. As soon as the stock was exhausted, the rise became more rapid," (Brock, *Currency of the American Colonies*, p. 30).

[8] Arthur Nussbaum, *A History of the Dollar* (New York: Columbia University Press, 1957), p. 31.

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coin brought in by commerce flowed outward in purchase of British commodities. An undeveloped country, America could not produce enough to buy the goods needed for its economic development; more was always imported than American cargoes of tobacco, wheat, furs, and naval stores could procure; hence an unfavorable balance of trade existed with Britain . . . . the flow of hard money was toward Britain.[9]

The deficit in the balance of trade (or payments, a distinction seldom made) is hardly challenged by commentators, yet there is no way of proving that there was one. Even without the recent accumulating evidence that invisible earnings account for all but one-seventh of the average trade deficit in the years 1768-72,[10] it should have been apparent that the initial stock of specie in America would not have sustained a chronic deficit for even a short period. And to the extent that Americans borrowed abroad, or put another way, to the extent that over the period 1720-74 British merchants and lenders made investments in America, a drain of specie would not have been necessary.

It is true that America had no silver mines from which to supply itself with a specie money. But neither did Britain. That only America suffered from a shortage of monetary metals therefore does not follow from the lack of mines. Nor does it follow from the prohibition of the minting of coins or the prohibition of the export of British coins to America. For the common coins in America were Spanish and Portuguese, probably reflecting the fact that the payments surpluses of the American colonies were most frequently with the colonies of these countries. Britain's prohibitions did not apply to non-British coin and to specie bought in Britain and in any event would not have been enforced more effectively than other eighteenth-century regulations. Most of the difficulties of making payments between colonies or with Britain are known to have existed in making domestic payments within Britain where shortages of coin and of currency of small denominations and difficulties in obtaining bills of exchange can easily be documented in the same period.[11]

It is certainly true that the colonists frequently complained of a

[9] Ferguson, *The Power of the Purse*, p. 4.

[10] James F. Shepherd and Gary M. Walton, "Estimates of 'Invisible' Earnings in the Balance of Payments of the British North American Colonies, 1768-1772," THE JOURNAL OF ECONOMIC HISTORY (June 1969), Tables 1, 6 and 7 supplemented by their estimate of British spending in North America in support of the military forces stationed there.

[11] L. S. Pressnell, *Country Banking in the Industrial Revolution* (Oxford: Clarendon Press, 1956).

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shortage of coin. But it is certainly also true that they did so, in the documents that survive, usually when they were apologizing for not paying their debts or were pleading with the Board of Trade for exemption from restrictions. The complaints are often too self-pitying to be accepted without reservations.

> If this colony be in any respect happy and flourishing, it is paper money, and a right application of it, that hath rendered us so . . . it is supposed by many that the frequent emissions of those bills hath effected their depreciation. But the contrary may be safely averred.[12]
> And it is plain, that where the balance of trade is against any country, that such part of their medium of exchange as hath universal currency, will leave them; and such part of the medium as is confined to that country, will sink in its value, in proportion as the balance against them is to their trade.[13]

Private merchants often wrote of scarcity of money:

> by reason of the War, People in general are rendered unable, many as to their Circumstances, but most thro' the unusual Scarcity of Cash, from making good their Engagements in Season . . . thro' want of a sufficient circulating Medium we must sensibly feel the Effects as to our Trade.[14]
> It was in hopes ere this to have had a Remittance from you for the Balance due to me the want of which puts me to a good deal of inconvenience in this scarce time of money.[15]

When the merchants who complained of the scarcity of cash were unable to delay making remittances any longer they could finally arrange for cash payment. The colonial merchant would instruct his ship captain to sell his cargo and bring back specie, bills on London and occasionally even to go to London with a cargo and sell the ship besides, turning the proceeds over to the British creditor. The shortage of bills of exchange and of specie that is reflected in the correspondence of merchants partly results from the full use of merchants' working capital, the long periods of credit common in the eighteenth century and the consequent low ratio of cash to indebtedness. Temporary dislocations of payments would provoke serious liquidity crises much more frequently than at the present time. Ferguson speaks of the use of paper money in the colonies as:

[12] Governor Ward to the Board of Trade, January, 1741, in John R. Bartlett, *Rhode Island Colonial Records,* V (Providence, 1862), p. 13.

[13] "A Petition to the Board of Trade," Newport, February 27, 1749, *ibid.*, V, p. 284.

[14] Philip White, ed., *The Beekman Mercantile Papers, 1746-1799,* III (New York: New York Historical Society, 1956), p. 1025, October 15, 1785.

[15] Henry Lloyd Letterbook, December 21, 1765, manuscript in Baker Library, Cambridge, Massachusetts.

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a way of anticipating tax revenues and had somewhat the character of a forced loan; yet there was little objection on grounds of principle, and the procedure answered nicely to the general situation. Its primary virtue was its avoidance of any transactions in specie.[16]

Even without examination of colonial experience, it should be clear that a monetary system, the changes in whose issues of paper money depend on the erratic fiscal needs of the government, will not very well serve the need for maintaining a stable money supply or of balancing the international movements of specie. With the fiscal needs of the colonial governments fluctuating widely, rising dramatically during war campaigns, the principle that Ferguson defends would have given rise to wartime inflation and peacetime recession, hardly a very good set of monetary objectives.

In the following pages monetary data for several colonies for the years between 1720 and 1774 are brought together for comparison. This will permit making judgments about the need for paper money and of the degree to which its issue met the need. It will also reflect on the domestic impact of the alleged "chronic" drain of specie. A large issue of paper money per capita that was not accompanied by inflation would confirm the need for emissions to avoid deflation and depression. A large price inflation can be interpreted as excessive emission.

If the colonists suffered from a loss of specie, we should find that specie rose in value in relation to goods. An examination of the relative changes of money prices and prices expressed in their silver equivalents in the colonies compared with England will permit inferences on how severely the specie drain was felt. Estimates of the composition of the money supply are also examined to gain a perspective on the importance of paper money and of the relative success of different colonies in creating a substitute for specie.

II. INFLATION OF PRICES

The first test of the colonial monetary system is in the stability of prices. A well-functioning system would either have stability of prices or at least greater stability than the alternative of a specie system of circulating foreign coins. Good price series have been collected only for Pennsylvania; for other colonies we have only prices of a few commodities, badly linked.[17]

[16] Ferguson, *The Power of the Purse*, p. 8.

[17] Anne Bezanson, Robert Gray and Miriam Hussey, *Prices in Colonial Pennsylvania* (Philadelphia: University of Pennsylvania Press, 1935).

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TABLE 1
COMMODITY PRICE INDICES IN ENGLAND AND THE AMERICAN COLONIES, 1720-1774

Year	England[a]	Pennsylvania		Boston	
		20 Commod.[b]	Wheat[c]	Wheat[d]	
				In Paper Money	In Silver Prices
1720	100	100	100	100	100
1725	95	126	126	125	99
1730	94	116	119	154	94
1735	87	108	125	189	85
1740	98	103	105	186	80
1745	83	106	84	256	88
1750	93	136	147	519	120
1755	90	127	146	556	129
1760	96	134	166	623	145
1765	104	144	153	530	123
1770	98	145	192	583	135
1774	114	157	225	695	162

[a] B. R. Mitchell, *Abstract of British Historical Statistics,* (Cambridge: Cambridge University Press, 1962), p. 468, Consumers' Goods (a).
[b] Anne Bezanson, Robert Gray and Miriam Hussey, *Prices in Colonial Pennsylvania,* (Philadelphia: University of Pennsylvania Press, 1935), Table 19, 20, Commodities, Arithmetic.
[c] *Ibid.,* Table 10, Wheat.
[d] A. H. Cole, *Wholesale Commodity Prices in the United States, 1700-1861,* (Cambridge: Harvard University Press, 1938), Appendix A, Wheat Prices.

The available data show that Philadelphia's prices rose 57 percent between 1720 and 1774, at the rate of 0.8 percent compounded annually. This is a modest degree of inflation by present-day standards, although it did not occur at a constant rate; inflation in the years between 1745 and 1750 was at a much more rapid rate than over the whole period, yet even in those years it was considerably slower than in the contemporary period from 1945 to 1950 in the U. S. In terms of silver prices the same index for Philadelphia would have fallen to a low in 1739, 20 percent below its level of 1720, and would have risen (interrupted between 1743 and 1746) to 24 percent above the 1720 level in 1774. In England prices were lower in every one of the selected years until 1765 and only rose to 14 percent above their levels of 1720 by 1774 (0.25 percent compounded annually). Pennsylvania's inflation measured in silver prices was roughly 70 percent greater than England's modest level.[18] As a rough approximation, it

[18] Benjamin Franklin can be forgiven for not having been aware of an index of prices and of how it would have measured the price changes of his time, but his arguments in "Remarks and Facts Relative to the American Paper Money," written in answer to a Report of the Board of Trade in 1764, may be a bit disingenuous:

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might be said that paper money led to 33 percent more inflation than would have taken place without it. But Pennsylvania's money supply was relatively well-managed by colonial standards as well as by present-day standards.

The best price data for Boston are for wheat; Boston wheat prices in paper money in 1774 were seven times their 1720 level; a rise of 4 percent compounded annually, four and one-half times the rate of inflation of the Philadelphia price index of twenty commodities and roughly the same multiple of the rate of inflation of Philadelphia's wheat prices. Boston's index of wheat prices can therefore be taken to represent fairly the magnitude of inflation in Boston.

Cole's monthly index of fifteen commodities compiled for New York[19] shows a rise of 38 percent between 1720 and 1774; of the selected dates, a peak was reached in 1760 of 43 percent above 1720. New York's inflation was less than Pennsylvania's and was moderate by our standards.

As measured by the depreciation of sterling exchange rates (see Table 2) the colonial inflations varied from the 13 percent depreciation in Virginia (ignoring the inflationary period around 1765), 12 percent in New York, 27 percent in Pennsylvania to 330 percent in Boston and 1340 percent in Rhode Island.

III. PAPER MONEY EMISSION

The experience of paper money issues was quite varied in the colonies, with the New England colonies taking the lead, Pennsylvania and New York following by 1725 and Virginia emitting paper money only in 1755, by which time Massachusetts had renounced its issue and the Parliamentary Act of 1751 had prohibited it in New England. The amounts issued were also quite varied; at the peak, in Rhode Island, £31.5 per capita was outstanding in 1760; in Massa-

A dollar thereby coming to be rated at eight shillings in paper money of New York, and 7s6d in paper of Pennsylvania it has continued uniformly upon new emissions; though in Pennsylvania, the paper currency has at times increased from £15,000 the first sum, to £600,000, or near it. Nor has any alteration been occasioned, by the paper money, in the price of the necessaries of life, when compared with silver. They have been for the greatest part of the time no higher than before it was emitted; varying only by plenty and scarcity, according to the seasons, or by a less or greater foreign demand. Benjamin Franklin, *Works*, Jared Sparks, ed., II (Boston: Tappan & Whittemore, 1836), p. 351.

[19] Arthur H. Cole, *Wholesale Commodity Prices in the United States, 1700-1861* (Cambridge: Harvard University Press, 1938).

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TABLE 2
INDICES OF EXCHANGE RATES WITH LONDON, 1720 = 100

Year	*Boston*	*Rhode Island*	*Philadelphia*	*New York*	*Virginia*
1720	100	100	100	100	100
1725	143	143	100	103	100
1730	170	170	114	103	102
1735	223	223	122	103	—
1740	231	231	123	100	107
1745	292	292	132	122	113
1750	430	430	128	112	111
1755	430	785	127	114	116
1760	430	1110	120	115	124
1765	430	1270	129	115	141
1770	430	1440	115	112	104
1774	430	1440	127	112	113

Sources:

Boston: 1720-36, Arthur H. Cole, *Working Papers,* Price Committee, Boston Exchange, manuscript on deposit in Baker Library, Cambridge, Massachusetts. 1740-74, various merchant manuscript record books; Thomas Hancock and Estate of George Wigglesworth daybooks in Baker Library; *Papers of the Lloyd Family, Collections of the New York Historical Society,* (New York: 1926 and 1927).

Rhode Island: John Blanchard MacInnis, *Rhode Island Bills of Public Credit, 1710-1755* (unpublished Ph.D. thesis; Brown University, 1952); John Bartlett, ed., *Rhode Island Colonial Records* (Providence: 1862); Henry Lloyd manuscript letters on deposit, John Carter Brown Library, Providence; and other merchant manuscript sources in the Newport Historical Society and Rhode Island Historical Society.

Philadelphia: Anne Bezanson, Robert Gray and Miriam Hussey, *Prices in Colonial Pennsylvania* (Philadelphia: University of Pennsylvania Press, 1935).

New York: L. Van Horn Brock, *The Currency of the American Colonies, 1700-1764* (unpublished Ph.D. thesis, University of Michigan, 1941); *The Beekman Mercantile Papers, 1746-1799* (New York: New York Historical Society, 1956) 3 vols; and manuscript merchant records at New York Historical Society.

Virginia: James Hemphill II, *Virginia and the English Commercial System* (unpublished Ph.D. Thesis, Princeton University, 1964); James H. Soltow, *The Economic Role of Williamsburg* (Williamsburg: Colonial Williamsburg Inc., 1965); and *Charles Steuart Letterbook,* manuscript in Historical Society of Pennsylvania.

chusetts a peak of £168 per capita was reached in 1765; in Pennsylvania the peak in 1760 was only £2.6 per capita; in the same year New York's peak was £3.5 per capita; Virginia, in 1760 had only £1.8 per capita outstanding (see Table 3). These different amounts represent still greater differences of purchasing power. In Pennsylvania, Virginia and New York the peak of nominal money outstanding corresponds with a peak in the purchasing power of the paper money in terms of sterling equivalent, £1.6, £1.3 and £1.9 per capita respectively for the three colonies in 1760. The similar peaks of paper money issues in Massachusetts and Rhode Island did not have sterling equivalents above £0.08 and £0.06 respectively. With nominal issues one-tenth as large, Pennsylvania managed to create

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TABLE 3
NOMINAL AND REAL VALUES OF COLONIAL PAPER MONEY ISSUES[a]
(Pounds Per 1000 Population)

Year	*Pennsylvania*		*New York*		*Virginia*		*Massachusetts*		*Rhode Island*	
	A	B	A	B	A	B	A	B	A	B
1715									5000	143
1720			1200	750			2520	53	3400	71
1725	945	706					3420	57	2540	42
1730	1330	877					2730	34	5800	71
1735	1000	615					2340	22	11900	94
1740	935	570	1255	785			1355	12	18300	166
1745	780	443	2700	1385			3210	23	22000	158
1750	707	413	2000	1115			9660	47	14900	73
1755	702	316	1850	1031	212	163	4230	21	19500	52
1760	2660	1660	3500	1900	1800	1262	25000	121	31500	59
1765	1440	830			1000	618	168000	82	14200	23
1770	855	553	502	280	39	8	153000	75	1300	2
1774	804	482	1030	575			109000	53	3650	5

[a] Columns A: Nominal paper money issues.
Columns B: Nominal amounts converted to £ Sterling at current exchange rates.

Sources:

I. Population statistics from U.S. Bureau of the Census, *Historical Statistics of the United States, Colonial Times to 1957* (Washington, D.C.: G.P.O., 1960), p. 756.

II. Volume of paper money:

Pennsylvania: L. Van Horn Brock, *The Currency of the American Colonies, 1700-1764* (unpublished Ph.D. thesis, University of Michigan, 1941), Table V and XIX.

New York: *Ibid.*, Table XVI; and *Historical Statistics of the U.S.*; and R. A. Lester, *Monetary Experiments* (Princeton: Princeton University Press, 1939), p. 120.

Virginia: Brock, *The Currency of the American Colonies*, pp. 476-77; James H. Soltow, *The Economic Role of Williamsburg* (Williamsburg: Colonial Williamsburg, Inc., 1939), p. 133; and Joseph Ernst, "Genesis of the Currency Act of 1764," *William and Mary Quarterly*, January, 1965. Soltow's data conflict with Brock and Ernst for some of the years.

Massachusetts: Brock, *The Currency of the American Colonies.*

Rhode Island: *Ibid.*; entry for 1745 is from John B. MacInnis, *Rhode Island Bills of Public Credit, 1710-1755* (unpublished Ph.D. thesis, Brown University, 1952). MacInnis' data do not agree with Brock's.

III. Exchange rates: from data used in Table 2.

a currency whose "purchasing power" (in sterling equivalent per capita) was over twelve times as large as that of Massachusetts.

A recent study of the "national wealth" of the middle colonies suggests that per capita cash holdings amounted to about £1.2 sterling in 1774.[20] In Pennsylvania and New York, between 40 and 48 percent of the money supply would therefore have been the paper money issued by these colonies. If we can assume per capita wealth

[20] Alice Hanson Jones, *Wealth Estimates for the American Middle Colonies, 1774* (unpublished Ph.D. Dissertation, University of Chicago, 1968).

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to have been the same in New England in that year, the paper money issues, though nominally in much greater amounts, would have constituted between 4.4 and 0.4 percent of the total money supply. The middle colonies managed a paper money supply that was accepted by the people and was used as a store of value and in transactions more than ten times as widely as in New England. The wide variations in monetary management have been used to condemn the colonial paper money issues; clearly the same data can be used to uphold the restraint of Pennsylvania and New York; only the New England colonies (with Georgia) stand out from the rest in their poor use of the printing presses.

Commentators have not sufficiently pointed out the potential conflict in a money supply that is regulated by the deficits from war finance and that, to serve the needs of a medium of exchange, ought to grow at a steady rate. War finance led to the first issues in Massachusetts in 1690 and to the rapid expansion of the paper money supply in the middle 1740's and later 1750's. But even the paper money issues that were made without primary regard to deficit finance in wartime—the several colonial loan banks[21]—were subject to very great instability. Rhode Island is not perhaps a representative example for either political or economic policies in the eighteenth century; certainly the loan banks in Rhode Island did not reduce the instability of the money supply there (see Table 4). The smallest year-to-year addition to the money stock from changes in the issues of paper money through the loan bank was 21 percent of the previous year-end stock of paper money outstanding in Rhode Island. Since provision was made in the initial emission of the paper money for an annual retirement of 10 percent of the loans, the very design of the loan bank incorporated a programmed destabilization of the currency supply unless the loan bank were to re-lend the funds that were amortized. Instead, at long intervals, a new bank would be authorized and loans made once again to occasion a new emission of paper money. Six years elapsed before the bank was renewed with an 85 percent increase in the resulting paper money supply; three years later a 52 percent increase was issued; two years later another 52 percent; six years later 35 percent, etc. The New

[21] The Loan Banks were paper money issues made on mortgage loans to persons by the colonial governments and providing for redemption at the rate at which the mortgage indebtedness was to be amortized. The interest that was paid by the borrowers provided a sufficient income to carry the expenditures of Rhode Island government during some peacetime years.

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TABLE 4
RHODE ISLAND LOAN BANKS

Year	*Amount of Issue* £	*Percent of Previous Year's Currency Outstanding*
1715	40,050	330
1721	39,970	85
1728	42,978	52
1731	63,656	52
1733	100,946	52
1739	100,000	35
1741	80,026	21
1744	157,923	35
1751	258,422	42
1786	96,608	?

Source: John Blanchard MacInnis, *Rhode Island Bills of Public Credit, 1710-1755* (unpublished Ph.D. thesis, Brown University, 1952); Forrest McDonald, *We the People* (Chicago: University of Chicago Press, Phoenix Books, 1958), p. 332.

England loan banks did not contribute to the stability of the money supply, whatever they may have been intended for. New Jersey's loan banks had the same defect as New England's; the first issue in 1724 was to be repaid over ten years at the rate of 8½ percent in each of the first eight years. When the decline in the money stock had removed 50 percent of the first loan, a second was issued in 1730, whose repayments were to begin eight years later and proceed at 12½ percent annually. New York had a similar experience. Pennsylvania's loan issues declined 25 percent in two consecutive years and 50 percent in the third (1760-63), 33 percent between 1768 and 1769 and then in sharp reductions, to 20 percent of their levels in another three years (see Table 5). Between 1750 and 1755 the Loan Bank constituted the bulk of the paper money outstanding, but after 1755 it declined to a minor part of the paper money supply. After 1755 the loan banks in Pennsylvania cannot be said to have been managed for the purpose of keeping a desired amount of paper money in circulation. Year to year fluctuations of 10 to 67 percent are common in Pennsylvania's paper money circulation, with annual reductions in the stock of paper money outstanding more frequent than additions. With better management, the loan banks might have been used to compensate for changes in the money stock brought on by fiscal requirements, but none of the colonies studied seems to have used their loan banks, either deliberately or unconsciously, for this purpose.

The study of paper money in the American colonies in the eigh-

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TABLE 5
PENNSYLVANIA'S PAPER MONEY ISSUES
ON LOAN BANKS AND BILLS OF CREDIT
(in thousands of Pounds)

Year	*Loan Banks*	*Total Paper Money Outstanding*
1750	80	84.5
1751	80	84
1752	80	83.5
1753	80	82.5
1754	80	81.5
1755	80	81
1756	80	147.5
1757	80	262.5
1758	78.3	329.8
1759	78.3	433.5
1760	78.3	486.2
1761	59.8	438.1
1762	44.3	349.0
1763	22.1	286.3
1764	19.4	328.1
1765	17.5	302.4
1766	17.5	278.7
1767	16.1	263.9
1768	15.2	234.4
1769	10.4	230.5
1770	8.3	204.5
1771	2.9	184.5
1772	2.0	174.6
1773	1.5	154.1
1774	96.1	220.5

Source: L. Van Horn Brock, *The Currency of the American Colonies, 1700-1764* (unpublished Ph.D. thesis, University of Michigan, 1941), Table XIX.

teenth century shows that we can easily exaggerate its importance in the economy of that time. From an estimate of the per capita wealth of 1774, it would seem that paper money did not exceed 48 percent of the total money supply in those colonies where it was most widely used. But in those colonies where it was most widely *issued,* it does not seem to have constituted a significant part of the payments media. Even these estimates omit the role of private bills of exchange in the stock of money; consideration of these would reduce further the importance of the colonial paper money in the total supply of money.

IV. CONCLUSIONS

The colonial issues were not well managed to secure a stable money supply; their volume changed erratically and with a large amplitude. It is not hard to see why the colonies failed to provide a

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stable paper money supply: the issues were made to meet the needs of the colonial treasuries and these needs rose greatly in times of war.[22] The colonies, in their management of wartime finance were not very successful by present day standards. They failed, where we fail today, in resorting to the printing press to finance fiscal deficits. Thus Ferguson, while he may do well to remind us that war finance produces inflation, has not really shown more than that colonial paper money was an expedient that we have become accustomed to. This does not much commend it, nor show that alternative sources of finance were not available and preferable.

Other writers, reminding us of the needs of a young, capital-scarce and rapidly developing economy do not very well justify the colonial experience either. The need for a substitute for the alleged "chronic" drains of specie required by "unfavorable" payments balances would be manifested either by falling nominal prices or falling real prices—*i.e.* nominal prices in the specie equivalents. Real prices in both Philadelphia and Boston not only rose, but rose in relation to England's real prices. The alleged drain of specie from the colonies was not of a sufficient magnitude to remove specie as a major component of the circulating medium or to have prompted the colonists to try to hold on to specie sufficient to induce a fall in real prices, absolute or relative to real prices in England. If the alleged shortage of specie did not manifest itself in these ways, there cannot have been a very acute problem. Ferguson, Brock, Hammond and many recent writers minutely investigating political conflicts over the British restrictions of colonial legal tender paper money issues largely fail to ask either how serious the need for paper money was or how well colonial issues served the need.

The debate over colonial paper money issues in the past focused on the populist or depression-bred issues of hard money vs. soft money or reflation vs. monetary orthodoxy. More recently it has explored the colonists' frustrations with British restrictions of legal tender paper money as a contributing cause of the American Revolution. The data presented here, while useful in both of these debates, might better be employed in another direction—toward the understanding of American monetary experience in the context of eigh-

[22] As Judge Samuel Sewall was quoted by Brock for saying in 1712, "I was at making the first bills of credit in the year 1690. They were not made for want of money, but for want of money in the Treasury," (Sewall, *Diary*, entry of November 3, 1712 in Collections of the Massachusetts Historical Society, VI, Fifth Series, Boston, 1879, p. 366).

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teenth century monetary systems. The shortage of coins of small denominations for everyday payments and the undeveloped system of banks for clearing payments and providing short-term credit accommodation were characteristics of the provinces in Britain[23] and America alike. In looking for causes of the Revolution or of grievance with British rule, American historians have too often overlooked the similarities of monetary problems on both sides of the Atlantic. The examination of the colonial monetary system in the context of British eighteenth century experience would add a very important dimension to the understanding of the restraints and the possibilities of the colonial economies. But this is a task for another paper.

ROGER W. WEISS, *University of Chicago*

[23] Pressnell, *Country Banking*, pp. 15-16:

Thus the currency was in an unsatisfactory, even lamentable condition throughout the Industrial Revolution. Entrepreneurs were gravely handicapped; they required means of payment for remittance to suppliers of raw materials, but above all for workers' wages; but the monthly (or longer) settlements and bills of exchange that would do for other traders would not suit most workers, who required regular payment in readily acceptable money of low denomination. Fortnightly or staggered pay-days, resort to truck and the tommy shop, were half-measures, particularly as the coin economized thereby was, in any case, of poor quality; more currency *and* better currency was needed.

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